leave into making cash payments of up to DM250,000.16 The case, in all its tawdry detail, showed how the whole bureaucracy of extortion worked.

Additionally, vast reserves of money were secured by wheeler-dealer Alexander Schalck Golodkowski, the head of ‘Commercial Coordination’ (KoKo), a department assigned to procure foreign exchange. Once described as the ‘eminence behind Erich Honecker’, Schalck was one of the GDR’s most powerful men – more powerful, at any rate, than most of the members of the Politburo. Although he wasn’t a member of the inner circle, Honecker trusted him completely and relied entirely on him when it came to acquiring currency. As a foreign trade specialist, his position placed him in charge of the Party and government war chest – much of it in cheap eastern money but, above all, a lot of hard currency.

Upon first reflection, it appears many KoKo companies participated in dubious business: dealing in arms and art, freeing prisoners, and supplying luxury goods to Wandlitz, yet taken together, the vast majority of KoKo activities were ordinary deals, including the trade of blood plasma, fuel, food, building materials and the disposal of Western waste at GDR landfills. ‘From 1972–89 we transferred DM27billion to fixed assets,’ Schalck later revealed. ‘In addition, during the same period, revenues amounting to DM23 billion were acquired through agreements with the FRG.’ These sums were used in the GDR national economy on the instructions of the responsible Politburo member Günter Mittag, or in individual cases based on special decisions by Honecker. Perhaps, not surprisingly, Schalck divulged that Honecker held the purse strings to an account amounting to DM100 million. ‘The general secretary,’ he revealed, ‘knew that he was able to use the money immediately in case of unusual events, such as particular bottlenecks in supplies for the population.’ Willi Stoph held a similar account, containing DM250 million.17 And thanks to his enthusiastic leadership, during the course of his twenty-two years on the job, Schalck:

•circumvented NATO embargoes by bringing 10 billion marks worth of electronic equipment into the GDR, i.e. the arsenal of the Ministry for State Security (MfS) for the surveillance of the country’s population;